GMS WEEKLY

Your Source for Recycling News

August 18th, 2023
Volume 252, Issue 1096
Week 33

Highlights:

- **Spiralling prices.**
- **Over 100/LDT fall.**
- **India lowest.**
- **Supply still.**
- **Post monsoon up?**
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QUOTE of the WEEK

"It is often the small steps, not the giant leaps, that bring about the most lasting change."

– Queen Elizabeth II

MARKET COMMENTARY

LETHARGY!

The lethargy in sub continent recycling markets continues for another week as owners and cash buyers comtinue to offload tonnage at spiralling prices, chasing down rates seemingly by the day.

Indeed we have seen prices decline from over USD 600/LT LDT earlier this year, to seeing several standard (albeit poor condition) dry bulk sales below USD 500/LDT recently.

So a fall of over USD 100/LDT has been realized in recycling markets since the start of the summer and the age old problems persist of strained LCs and lack of financing, meaning there appear to be more vessels than capable end buyers at present – certainly in the more challenging markets of Pakistan and Bangladesh.

India remains a constant market, in terms of end buyers capable of opening LCs, yet prices are once again positioned at the bottom of the pile in the sub continent, with most end users fearful of committing on fresh tonnage such has been the extent and ferocity of recent price falls.

The supply of tonnage – particularly from Far East and China markets – has remained a constant over these summer months (when it is usually quieter), and those cash buyers who have bougbht 'as is' tonnage without back to back end users in place have been hardest hit with tumbling levels and a stockpile of seemingly unsellable tonnage.

There is hope however that once monsoon season ends and product starts to shift from yards and mills reopen, that we may see a greater demand at least to acquire once again.

For week 33 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Pakistan*	Weak	510 / LDT	530 / LDT	550 / LDT
2	Bangladesh*	Weak	500 / LDT	520 / LDT	540 / LDT
3	India	Weak	490 / LDT	510 / LDT	530 / LDT
4	Turkey	Weak	300 / LDT	310 / LDT	320 / LDT

**Subject L/C approval*

BANGLADESH

EXCESS TONNAGE!

Bargain deals.

Bangladesh has been the market to struggle with (or perhaps exploit) the excess tonnage over these summer months with some absolutely bargain deals being done to end buyers below USD 500/LDT.

Fundamentals in terms of steel prices actually remain remarkably sturdy, it is just that the constant rains that invariably come at this time of year due to the seasonal monsoons, means that product is not shifting from yards to mills, so there is a backlog of unsold steel material lying idle for the time being (which should start to ease once monsoon ends in mid September onwards).

New round of sales.

In terms of sales, the container vessel SOL HIND (7,792 LDT) was fixed for a decent USD 565/LT LDT for a prompt end August delivery (with 200 Ts bunkers), whilst another poor condition Chinese bulker (with questionable crane removal weight), the MINGZHOU 25 (6,729 LDT) was committed at USD 400/LT LDT ('as is' Zhoushan), and the smaller MPP JIN YUAN SHENG 9 (3,000 LDT) fetched USD 490/LT LDT.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
SOL HIND	Container	7,792	USD 565/LT LDT (with 200 Ts bunkers)
JIN YUAN SHENG 9	MPP	3,000	USD 490/LT LDT
MINGZHOU 25	Bulker	6,729	USD 400/LT LDT ('as is' Zhoushan)

INDIA

SINKING!

India has sunk to the bottom of the sub continent price rankings and remains tentative and nervous with any offers on new tonnage.

Nervy.

Steel prices tend to go up and down by around 500 rupees on a daily basis, so there seems to be little stability in local fundamentals, whilst the rupee has been trading in the high 82s against the US dollar in further concerning news.

India celebrated this week their 77th Independence Day, so it was little surprise to see muted demand and no sales take place, particularly as other markets continue to outbid them on those vessels that are available.

Independence Hols.

Only one sale was concluded for the week as the favoroubaly sized container (for workable LCs) SINOKOR AKITA (4,672 LDT) was sold for a firm USD 564/LT LDT, the second such sale from Korean owners Sinokor over the past month.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
SINOKOR AKITA	Container	4,672	USD 564/LT LDT (with 100 Ts bunkers)

PAKISTAN

EAGER TO RETURN!

Workable LCs key.

Whilst prices remain competitive and demand good, the key issue in Pakistan today is the availability of ready and workable LCs from those end buyers that have emerged back to the bidding table after almost a year of hiatus.

Several sales have taken place into Gadani in the low USD 500s/LDT and it is now a waiting game to see if those LCs can be opened and the deals performed as all in the industry will be hoping in order to add another cpmpetitive market back into the mix after a long period of absence and instability.

Hindrance.

Certainly the ongoing economic and political turmoil has been a hindrance to any positive market moves, basically nullifying any deals over the last year, so all will be hoping that the market is able to bounce back and conclude some business finally.

NO MARKET SALES REPORTED

TURKEY

SIMILARLY DETERIORATING!

Turkish prices have endured a similar deterioration over these summer months to follow the sub continent decline, and minimal deals have been concluced to Aliaga buyers as a result.

Minimal deals.

The historical and unprecedented depreciation of of the Turkish Lira has of course been a key componenert in this, but steel prices have simiiarly failed to impress, as we have also seen in sub continent locations.

The supply of tonnage over these last 2-3 months has largely come from the East and mostly from owners not motivated by EU or HKC green requirements, so it has not been too surprising to see minimal deals concluded to Turkish buyers.

No green supply.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *The strongest muscle in the body is the tongue.*
- *The Mona Lisa has no eyebrows.*
- *Ants take rest for around 8 Minutes in 12-hour periods.*
- *When the moon is directly overhead, you will weigh slightly less.*
- *Minus 40 degrees Celsius is exactly the same as minus 40 degrees Fahrenheit.*
- *Women blink nearly twice as much as men!*
- *People say "Bless you" when you sneeze because when you sneeze, your heart stops for a millisecond.*
- *The "sixth sick sheik's sixth sheep's sick" is said to be the toughest tongue twister in the English language.*
- *"Rhythm" is the longest English word without a vowel.*
- *Each king in a deck of playing cards represents a great king from history.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
August 15 – Independence Day August 31 – Raksha Bandhan	August 14 – August 20 August 28 – September 06

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
August 15 – National Mourning Day	August 16 – August 19 August 30 – September 02

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No Holidays in August	August 14 – Independence Day	August 30 – Victory Day

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ALANG - Port Position as of August 11, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	MSC Lana II	10,811	Container	Arrived August 12
Total Tonnage		**10,811**		

CHATTOGRAM - Port Position as of August 11, 2023

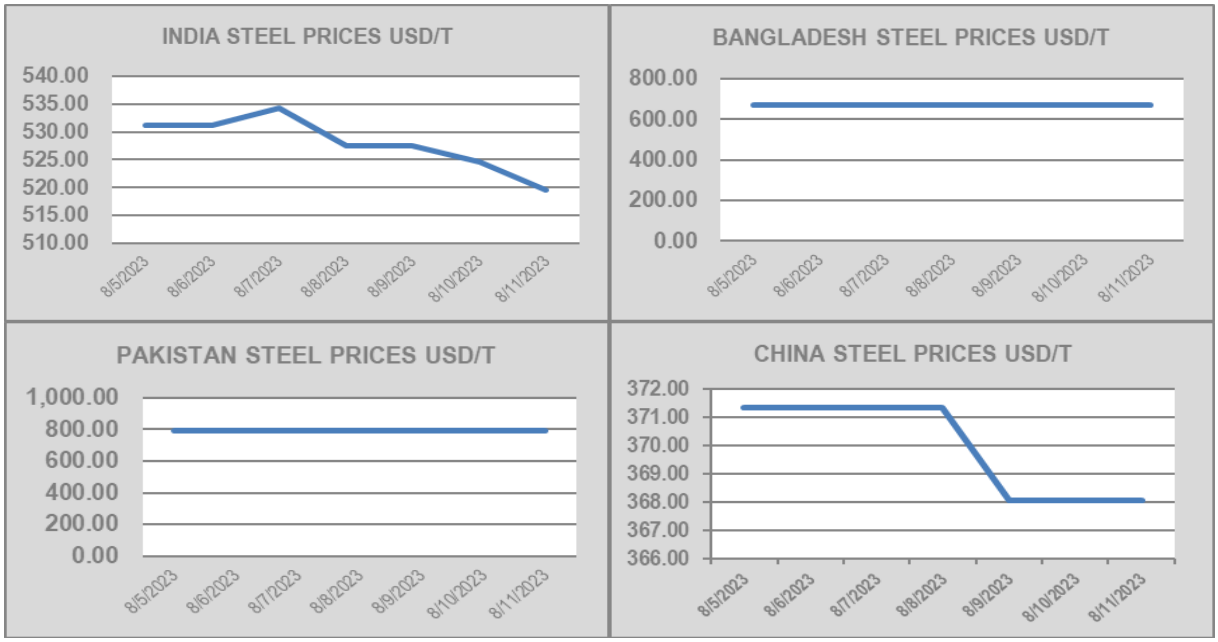
No.	VESSEL NAME	LDT	TYPE	STATUS
1	Eno	10,841	Woodchip Carrier	Arrived August 02
2	Pilatus 28	1,030	LNG	Arrived August 11
3	Well Win	8,940	Bulk Carrier	Arrived July 11
4	Sol Straits	7,770	Container	Arrived August 12
5	PKS 1	480	General Cargo	Arrived August 12
6	Vladimir Kolechitskiy (D/V)	6,000	Tanker	Arrived August 13
Total Tonnage		**35,061**		

GADANI - Port Position as of August 11, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported.		
Total Tonnage		**-**		

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
8/5/2023	531.14	44,000.00	794.22	220,000.00	672.81	73,000.00	371.35
8/6/2023	531.14	44,000.00	794.22	220,000.00	672.81	73,000.00	371.35
8/7/2023	534.20	44,200.00	794.22	220,000.00	672.81	73,000.00	371.35
8/8/2023	527.52	43,700.00	794.22	220,000.00	672.81	73,000.00	371.35
8/9/2023	527.59	43,700.00	794.22	220,000.00	672.81	73,000.00	368.08
8/10/2023	524.66	43,400.00	794.22	220,000.00	672.81	73,000.00	368.08
8/11/2023	519.57	43,000.00	794.22	220,000.00	672.81	73,000.00	368.08



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